interfere with the autonomy of the regulators, and added that the same assurance would also hold in respect of the FSDC.

As I look back on the developments of those days, it sometimes occurs to me that I may have possibly overreacted and that my apprehensions were more imagined than real. On the other hand, one cannot rule out the possibility that the sensitivity to regulatory autonomy will erode over time, there could be mission creep and we could end up in a situation where FSDC will routinely discuss monetary policy in the context of discharging its responsibility for financial stability. All this is in the realm of speculation and I do hope that we will build robust and credible institutional protocols to prevent the FSDC from trespassing into the regulatory domain even inadvertently. The FSDC structure will add value only so long as the finance minister and all the members constantly guard against these risks materializing.

The Financial Sector Legislative Reforms Commission, set up as part of a budget decision of 2011, raised the autonomy issue again, although indirectly. Again, let me give a brief background.

Just as the governor informs the finance minister of his monetary policy decision in advance, the finance minister too briefs the governor ahead of the budget on proposals that have relevance for the Reserve Bank. Both Chidambaram and Pranab Mukherjee respected this convention. In such a pre-budget briefing in 2010, Pranab Mukherjee told me about his proposal for the FSLRC. He was preaching to the converted. I had myself strongly canvassed, both in my public speeches as well as internal conversations with the ministry of finance, the need to recast all our financial sector laws —in order to streamline and simplify them. I readily endorsed the finance minister's proposal but cautioned him that the committee should restrict its task to recasting the existing laws but should not, in the process, attempt to change the basic framework of our regulatory architecture.

In fact, I took the opportunity of my inaugural speech at BANCON in December 2010, to indicate my position on the FSLRC. Here's what I said: 'It is important, however, to recognize that bringing about changes in policy or in the regulatory architecture cannot be the remit of a legislative reforms